

I first became interested in Disney in 1966, when its market valuation was less than \$90 million, even though the company had earned around \$21 million pretax in 1965 and was sitting with more cash than debt. At Disneyland, the \$17 million Pirates of the Caribbean ride would soon open. Imagine my excitement — a company selling at only five times rides!

Duly impressed, Buffett Partnership Ltd. bought a significant amount of Disney stock at a split-adjusted price of 31 cents per share. That decision may appear brilliant, given that the stock now sells for \$66.

But your Chairman was up to the task of nullifying it: In 1967 I sold out at 48 cents per share.

He made a 55 percent gain, but what a costly sale that was!

The problem isn't only that we're impatient. It's that the ride is not often easy. This reminds me of a story from 2012 by fund manager Dan Oliver at Myrmikan Capital. He pointed out that Apple from its IPO in 1980 through 2012 was a 225-bagger.

But ...

Those who held on had to suffer through a peak-to-trough loss of 80 percent — twice! The big move from 2008 came after a 60 percent drawdown. And there were several 40 percent drops. Many big winners suffered similar awful losses along the way.

Author Barry Ritholtz in a column in the *Washington Post* had many more examples. Netflix, which has been a 60-bagger since 2002, lost 25 percent of its value in a single day — four times! On its worst day, it fell 41 percent. And there was a four-month stretch where it dropped 80 percent.

And yet, you can't just hold onto everything. Lots of big winners have gone completely bust. Ritholtz mentioned a few: Lehman Brothers, WorldCom, Lucent and JDS Uniphase. I'm sure we could come up with more.

So it takes patience, some savvy stock picking and — as with most things in life — some luck. (People who held onto Apple for the whole ride had no way of knowing about the iPod or iPhone or iPad. These things didn't exist for decades during Apple's run.)

This is where the idea of a coffee-can portfolio can help. You don't